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Press Release

FOR IMMEDIATE RELEASE

Düsseldorf, November 5, 2021

GEA reports strong growth in third quarter of 2021

- Order intake shows strong 27.9 percent growth (organic: 29.6 percent) to EUR 1,349.9 million (Q3 2020: EUR 1,055.1 million)
- Revenue grows 4.7 percent (organic: 6.0 percent) to EUR 1,199.3 million (Q3 2020: EUR 1,145.9 million)
- EBITDA before restructuring expenses up 16.9 percent to EUR 169.9 million (Q3 2020: EUR 145.3 million); margin up 1.5 percentage points to 14.2 percent (Q3 2020: 12.7 percent)
- ROCE significantly increased to 24.6 percent (Q3 2020: 16.3 percent)
- Strong improvement in net working capital as percentage of revenue to 7.2 percent (Q3 2020: 12.3 percent); net liquidity significantly increased to EUR 358.4 million (Q3 2020: EUR 59.2 million)
- Outlook for 2021 fiscal year confirmed
- Recognition for GEA's sustainability performance

GEA accelerated its profitable growth in the third quarter and delivered compellingly strong results. Order intake rose by 27.9 percent in the third quarter of 2021 to EUR 1,349.9 million, marking the fifth quarterly increase in a row. EBITDA before restructuring expenses went up by 16.9 percent to EUR 169.9 million and the corresponding margin by 1.5 percentage points to 14.2 percent. There are also significant improvements on other key performance indicators. ROCE stands at 24.6 percent, net working capital as a percentage of revenue at 7.2 percent and net liquidity at EUR 358.4 million. GEA has consequently confirmed its outlook for fiscal year 2021.

"All of our divisions are contributing to this strong growth with their operational performance, enabling us to continue the positive trend from the first half of the year through the third quarter. My sincere thanks go to our great, dedicated workforce around the world who have delivered this outstanding performance," said GEA Group AG CEO Stefan Klebert.

Marked double-digit growth in various divisions leads to strong order intake

Order intake increased in the third quarter by 27.9 percent to EUR 1,349.9 million (Q3 2020: EUR 1,055.1 million) on the back of growth well into double digits in the Separation & Flow Technologies, Liquid & Powder Technologies and Food & Healthcare Technologies divisions. Almost all customer industries, especially food and beverage, saw marked double-digit growth in order intake. In organic terms, order intake rose 29.6 percent.

This was also partly due to four large orders for a total of EUR 167 million in the beverage, pharma and food industries, including one in the growth market of New Food with an order value well into the upper double-digit millions of euros.

Revenue went up by 4.7 percent in the third quarter to EUR 1,199.3 million (Q3 2020: EUR 1,145.9 million) and by 6.0 percent on an organic basis. All regions, especially Asia Pacific and Latin America, contributed to this growth. As regards customer industries, pharma stood out with a double-digit increase. The share of service revenue rose from 33.5 percent in the prior-year quarter to 33.7 percent.

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Significant improvements in profitability, financial position and ROCE

EBITDA before restructuring expenses increased by 16.9 percent to EUR 169.9 million (Q3 2020: EUR 145.3 million). The corresponding EBITDA margin improved significantly by 1.5 percentage points to 14.2 percent (Q3 2020: 12.7 percent). All divisions – especially Liquid & Powder Technologies and Separation & Flow Technologies – performed well with improvements in earnings.

Profit for the period climbed some 87 percent in the third quarter to EUR 81.1 million (Q3 2020: EUR 43.4 million). Earnings per share increased correspondingly from EUR 0.24 to EUR 0.45. Earnings per share before restructuring expenses came to EUR 0.48 in the third quarter, compared to EUR 0.37 in the prior-year quarter. The share buyback program launched in August 2021 (for a total of up to EUR 300 million) has already seen shares repurchased for about EUR 40 million.

Net liquidity increased significantly to EUR 358,4 million, compared to EUR 59.2 million in the prior-year quarter. This increase was mainly due to the improvement in earnings as well as a marked reduction in working capital. Net working capital as a percentage of revenue improved from 12.3 percent in the prior-year quarter to 7.2 percent.

As a result of the lower net working capital and a decrease in non-current assets, there was a marked fall in capital employed (average of the last four quarters) from EUR 2,067.7 million to EUR 1,637.2 million as of September 30, 2021. In line with this, return on capital employed (ROCE) improved significantly to 24.6 percent (previous year: 16.3 percent).

First nine months overview

Order intake grew in the first nine months by 13.3 percent to EUR 3,926.0 million (9M 2020: EUR 3,465.9 million). Organic growth stood at 17 percent. Revenue went up by 0.5 percent to EUR 3,420.3 million (9M 2020: EUR 3,404.2 million) and by 3.9 percent on an organic basis. EBITDA before restructuring expenses climbed 13.8 percent to EUR 444.7 million (9M 2020: EUR 390.7 million). The corresponding margin was 13.0 percent, 1.5 percentage points higher than in the prior-year period (9M 2020: 11.5 percent). At EUR 214.7 million, profit for the period was noticeably higher than in the same period of the prior year (9M 2020: EUR 118.4 million). Earnings per share increased accordingly from EUR 0.66 to EUR 1.19 and earnings per share before restructuring expenses improved significantly from EUR 0.91 to EUR 1.34.

Outlook for 2021 confirmed

GEA has confirmed its outlook for fiscal year 2021. Revenue is anticipated to grow on an organic basis from 5.0 to 7.0 percent. EBITDA before restructuring expenses at constant exchange rates will be in a range between EUR 600 million and 630 million. ROCE at constant exchange rates is expected to be between 23,0 and 26,0 percent.

Recognition for GEA's sustainability performance

GEA's progress in terms of sustainability is duly recognized by sustainability agencies. After gaining Prime Status (leadership in the industry index group) in the ISS ESG Corporate Rating on July 15, 2021, GEA was upgraded from an "A" to an "AA" in the MSCI ESG Rating in October 2021. This puts GEA among the "leaders," ranking among the best 27 percent in Industrial Machinery.

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GEA Financial Figures

(EUR million)	Q3 2021	Q3 2020	Change in %	Q1-Q3 2021	Q1-Q3 2020	Change in %
Results of operations						
Order intake	1,349.9	1,055.1	27.9	3,926.0	3,465.9	13.3
Book-to-bill ratio	1.13	0.92	–	1.15	1.02	–
Order backlog	2,811.7	2,321.0	21.1	2,811.7	2,321.0	21.1
Revenue	1,199.3	1,145.9	4.7	3,420.3	3,404.2	0.5
Organic sales growth in %[1]	6.0	–	–	3.9	–	–
Share service revenue in %	33.7	33.5	24 bps	34.2	33.5	74 bps
EBITDA before restructuring expenses	169.9	145.3	16.9	444.7	390.7	13.8
as % of revenue	14.2	12.7	148 bps	13.0	11.5	152 bps
EBITDA	164.4	134.8	22.0	419.6	363.8	15.3
EBIT before restructuring expenses	127.1	93.3	36.3	314.9	243.0	29.6
EBIT	121.0	66.7	81.3	283.1	186.1	52.1
Profit for the period	81.1	43.4	86.9	214.7	118.4	81.3
ROCE in %[2]	24.6	16.3	837 bps	24.6	16.3	837 bps
Financial position						
Cash flow from operating activities	239.9	169.4	41.6	393.7	390.0	0.9
Cash flow from investing activities	–25.4	–21.3	–19.0	–44.7	–51.0	12.3
Free cash flow	214.5	148.0	44.9	349.0	339.1	2.9
Net assets						
Net working capital (reporting date)	332.9	581.6	–42.8	332.9	581.6	–42.8
as % of revenue (LTM)	7.2	12.3	-510 bps	7.2	12.3	-510 bps
Capital employed (reporting date)[3]	1,577.5	1,920.7	–17.9	1,577.5	1,920.7	–17.9
Equity	2,038.2	2,060.9	–1.1	2,038.2	2,060.9	–1.1
Equity ratio in %	35.3	36.5	-128 bps	35.3	36.5	-128 bps
Leverage[4]	–1.0 x	–0.5 x	–	–1.0 x	–0.5 x	–
Net liquidity (+)/Net debt (-)[5]	358.4	59.2	> 100	358.4	59.2	> 100
GEA Shares						
Earnings per share (EUR)	0.45	0.24	87.2	1.19	0.66	81.4
Earnings per share before restructuring expenses (EUR)	0.48	0.37	27.9	1.34	0.91	47.2
Market capitalization (EUR billion; reporting date)	7.1	5.4	31.2	7.1	5.4	31.2
Employees (FTE; reporting date)	18,301	18,248	0.3	18,301	18,248	0.3
Total workforce (FTE; reporting date)	19,410	19,502	–0.5	19,410	19,502	–0.5

1) By "organic", GEA means changes that are adjusted for currency and portfolio effects.
2) EBIT before restructuring expenses of the last 12 months. Capital employed average of the last 4 quarters and excluding goodwill from the acquisition of the former GEA AG by former Metallgesellschaft AG in 1999.
3) Capital employed excluding goodwill from the acquisition of the former GEA AG by former Metallgesellschaft AG in 1999.
4) Total net debt/cons. EBITDA based on frozen GAAP (covenant concept).
5) Including lease liabilities of EUR 155,5 million in the 3rd quarter of 2021 (prior year 3rd quarter EUR 153,8 million).

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NOTE TO EDITORS

- The media webcast, which takes place in German, starts **at 9:30 am** (CET).
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About GEA
GEA is one of the world's largest systems suppliers to the food, beverage and pharmaceutical industries. The internationally active industrial technology group focuses on machines and plants as well as sophisticated process technology, components and comprehensive services. With more than 18,000 employees, the Group generated sales of more than EUR 4.6 billion in fiscal year 2020. A key focus is on making customers' production processes ever more sustainable and efficient. GEA's plants, processes and components help to significantly reduce CO_2 emissions, the use of plastics and food waste in production worldwide. In line with its corporate mission statement "Engineering for a better world", GEA is thus making a decisive contribution to a sustainable future.

GEA is listed in the German MDAX and the STOXX® Europe 600 Index and is also among the companies comprising the DAX 50 ESG and MSCI Global Sustainability Indices.

More information can be found online at **gea.com**.
If you do not want to receive any further information from GEA, please send an e-mail to **pr@gea.com**.